# RBI - OFFICIAL REGULATORY DIRECTION
# Scale Based Regulation (SBR): Capital Adequacy and Leverage Thresholds

Document ID: DOC_005 | Issuer: RBI | Issue Date: 2025-03-20 | Source: https://www.rbi.org.in/Scripts/NotificationUser.aspx?Id=12488

## Chapter 1: Operational Compliance Guidelines (DOC_005)

## Section 2.2: Minimum CRAR and Tier-1 Capital Requirements by NBFC Layer

2.1 Regulatory Layering under SBR Framework
NBFCs are classified into Base Layer (NBFC-BL), Middle Layer (NBFC-ML), Upper Layer (NBFC-UL), and Top Layer based on asset size and systemic interconnectedness. The threshold for Base Layer non-deposit taking NBFCs is an asset size below Rs. 1,000 crore.

2.2 Minimum Capital to Risk-Weighted Assets Ratio (CRAR)
All NBFC-ML and NBFC-UL entities must maintain a minimum CRAR of 15% of aggregate risk-weighted assets, with explicit Tier-1 minimums detailed in Table 2.2.

**Table 2.1: Mandatory Regulatory Schedule (DOC_005)**

| NBFC Regulatory Layer | Asset Size Threshold | Minimum Total CRAR | Minimum Tier-1 Capital | |
|---|---|---|---|---|
| NBFC - Base Layer (BL) | Below Rs. 1,000 Crore | 15.0% (or Leverage <= 7x) | 10.0% | Not Mandated |
| NBFC - Middle Layer (ML) | | 15.0% | 10.0% | Not Mandated |
| NBFC - Upper Layer (UL) | | 15.0% + D-SIB Buffer | 11.5% | 9.0% Minimum |
| | All Asset Sizes | 15.0% | 12.0% Minimum | 9.0% Recommended |

## Chapter 3: Operational Compliance Guidelines (DOC_005)

## Chapter 4: Operational Compliance Guidelines (DOC_005)

## Chapter 5: Operational Compliance Guidelines (DOC_005)

## Chapter 6: Operational Compliance Guidelines (DOC_005)